government, etc.

- Encouraging states to adopt a uniform VAT so that the state government's revenue could be increased and cascading effect of tax could be restricted.
- Saving state governments from bankruptcy by proposing for them a share in the service tax and the custom duties.

A committee (task force) headed by Mr. Kelkar handed over its report to the government concerning the feasibility of the FRBM Act. Meanwhile, some populist tendencies have been seen among the states as many have gone for promising free electicity to the farmers; such sops are surely detrimental to the attempts of fiscal consolidation, as states are the real culprit in fiscal deficit at present.

Q. 7 What are tax-havens and how are they promoting corruption in India?

Ans. 'Tax havens' are nation-states or dominions imposing low or no taxes on personal and corporate incomes, and as a consequence tend to attract wealthy individuals and corporates seeking to minimize their tax liabilities. Other than saving taxes these havens are also used as a safe hub for parking **'black money'** created in different countries. As per the data of the OECD, there are at present over 70 such destinations in the world – popular ones are British Virgin Islands, Cayman Islands, Cook Islands, Dubai, Isle of Maw, Liechtenstein, Marshall Islands, St. Kitts and Nevis, Switzerland, Marritius, US Virgin Islands, etc.

The tax havens are promoting corruption in India in so many ways:

(i) They have emerged safe hubs for parking money earned in India.

(ii) As there are such parking centres, the black money individuals and corporates make in India, are easily hidden with no risk of getting caught.

(iii) Many Indian corporates have their operations in such places which they use for transfer pricing.

(iv) The parked funds get back to India in the form of 'hedge funds' destabilising the economy.